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KIOXIA Holdings (285A) | Japan

Key Findings from Annual Securities Report

We summarize the key points we focused on in KIOXIA Holdings' FY3/26 annual securities report.

Key Takeaways

- Revenues from Apple grew 58% YoY in FY/26, outpacing overall company revenue growth.
- Raw material inventories increased significantly at the end of March 2026, likely reflecting advance procurement of DRAM for SSD.

On June 24, KIOXIA Holdings filed its FY3/26 annual securities report.

Revenues from Apple grew 58% YoY in FY3/26: While demand for datacenter SSD grew throughout FY3/26. Revenues from Apple reached ¥476bn (+58% YoY), exceeding both overall company revenue growth (+37%) and SSD & storage revenue growth (+40%) (Exhibit 1–2). We believe this supports the view that substantial price increases were implemented in March Q 2026 not only for data center customers but also for consumer segment customers. In addition, amid strengthening expectations for continued memory price increases, it is also possible that Apple undertook pull-in procurement of components.

Meanwhile, SanDisk and Dell - previously disclosed in FY3/25 as customers accounting for more than 10% of revenue—fell below the 10% threshold in this disclosure and are therefore not listed. However, SanDisk revenue has already been disclosed in quarterly results at ¥193.4bn (–3% YoY). (Apple and Dell are covered by our U.S. IT hardware analyst Erik Woodring; SanDisk by our U.S. semiconductor analyst Joseph Moore.)

Inventory increased driven by raw materials at the end-March 2026: As shown in Exhibit 3, finished products and work-in-progress inventories were roughly flat YoY, while raw material inventories increased significantly. This is likely attributable to advance procurement of DRAM for SSDs.

FY3/26 capex shift from fab shell spending to wafer fab equipment: Looking at changes in the book value of tangible fixed assets, in FY3/25 transfers from construction in progress were ¥109.9bn for buildings and structures and ¥192.7bn for machinery and equipment, suggesting substantial investment in fab shells and facilities (e.g., the Kitakami plant).

In FY3/26, transfers were ¥6.2bn for buildings and structures and ¥259.8bn for machinery and equipment. We believe capex was primarily focused on front-end equipment for BiCS-8 at the Yokkaichi and Kitakami plants.

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KIOXIA Holdings (285A.T, 285A JP)

Top Pick

Japan Semiconductors | Japan

Stock Rating	Overweight			
Industry View	In-Line			
Price target	¥110,000			
Up/downside to price target (%)	19			
Shr price, close (Jun 23, 2026)	¥92,290			
Mkt cap, curr, basic (bn)	¥50,398.3			
Div yld (03/27e) (%)	2.0			
Fiscal Year Ending	03/26	03/27e	03/28e	03/29e
Revenue, net (¥bn)	2,337.6	8,541.7	9,487.9	8,783.1
Operating profit (¥bn)*	870.4	6,802.3	7,569.8	6,722.6
Net income (¥bn)*	554.5	4,796.2	5,379.4	4,815.1
EPS, basic (¥)*	1,024.1	8,782.8	9,850.9	8,817.4
Prior EPS, basic (¥)*	-	-	-	-
EPS (¥)**	1,033.6	8,784.4	9,852.4	8,819.0
Prior EPS (¥)**	-	-	-	-
P/E, basic*	18.6	10.5	9.4	10.5
P/BV, basic	7.4	9.7	5.3	3.8
ROE (%)*	75.2	342.8	103.2	50.7
EV/EBITDA, basic	8.7	6.5	5.3	5.4

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

* = GAAP or approximated based on GAAP

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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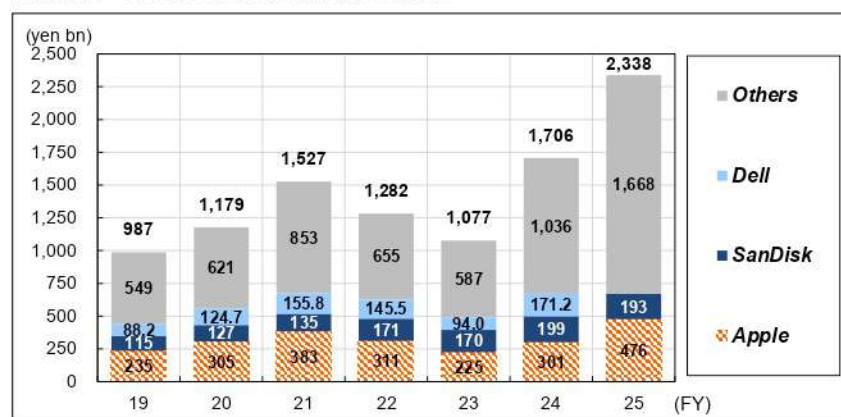
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The company plans FY3/27 capex of ¥450bn (+¥166bn YoY). While there may be investment in cleanroom construction within existing fab shells, the main focus is likely to remain front-end equipment for BiCS-8 and BiCS-10.

Increase in 'other financial assets' driven by valuation gains in Phison and others:

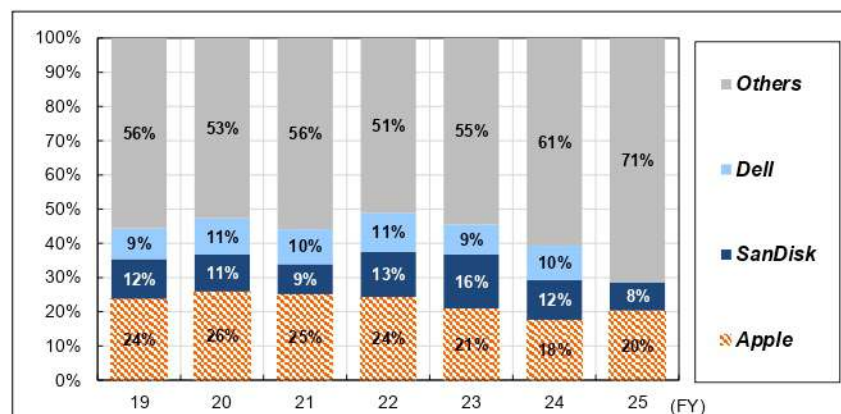
'Other financial assets' stood at ¥219.2bn as of end-March 2026 (+¥156bn YoY), mainly due to an increase in the valuation of shares in Phison Electronics to ¥148.4bn (+¥101.4bn YoY). KIOXIA acquired shares in Nanya Technology for ¥78.2bn in April 2026, which is expected to be recorded under 'other financial assets.' (Phison Electronics and Nanya Technology are covered by our Greater China semiconductor analyst Charlie Chan.)

Exhibit 1: KIOXIA Holdings: Annual revenues

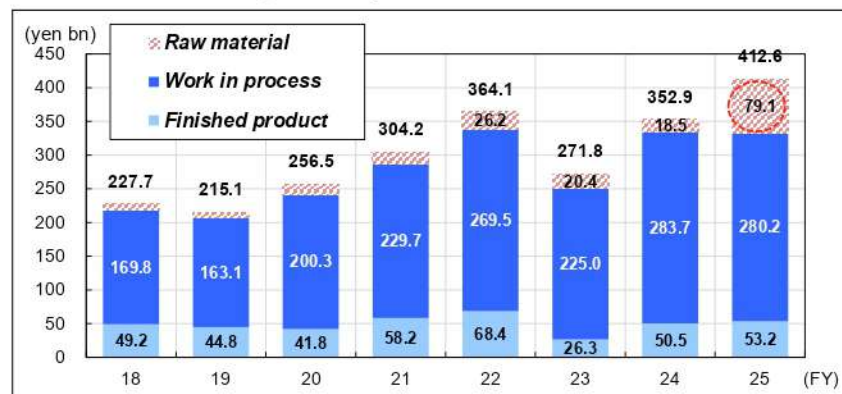


Source: Company data, Morgan Stanley Research

Exhibit 2: KIOXIA Holdings: Annual revenue mix



Source: Company data, Morgan Stanley Research

Exhibit 3: KIOXIA Holdings: Inventory

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

KIOXIA Holdings (285A.T)

FY3/28e FCF yield of 10%: Considering the company's strong FCF outlook, its shareholder return policy, and the significant growth potential driven by AI inference, we believe that an FCF yield of around 10% should provide sufficient support for the share price. Implied P/E of our target price based on our FY3/28 EPS forecast is 11x.

Risks to Upside

Greater-than-expected improvement in NAND flash S/D on AI-driven growth in end demand and supply-side adjustments

SSD market share gains

Risks to Downside

Longer-than-expected deterioration in NAND S/D on declining end demand, capacity expansion by Chinese companies

Japanese yen appreciation (we estimate one yen appreciation against US\$ lowers OP by about ¥6bn annually)

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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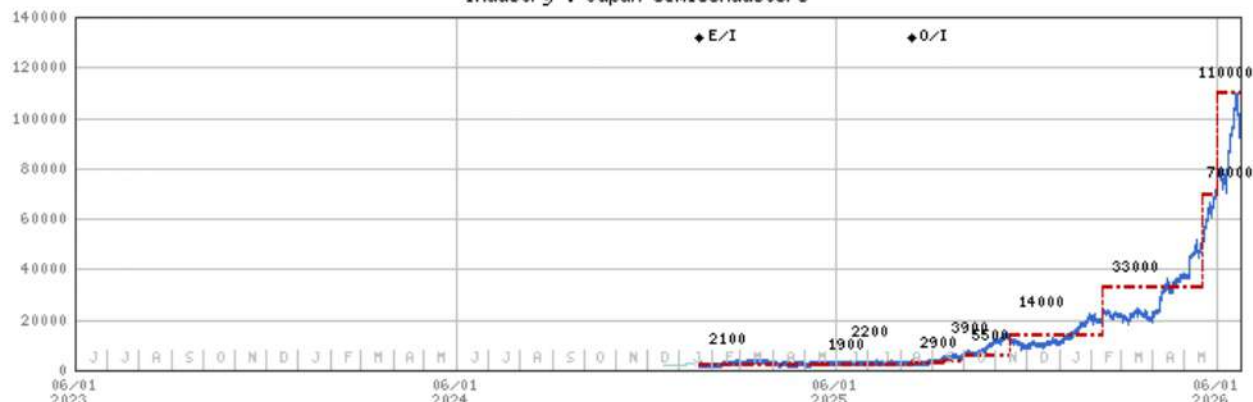
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Stock Price, Price Target and Rating History (See Rating Definitions)

KIOXIA Holdings (285A.T) - As of 06/24/26 GMT in JPY
Industry : Japan Semiconductors



Stock Rating History: 1/20/25 : E/I; 8/12/25 : O/I

Price Target History: 1/20/25 : 2100; 5/15/25 : 1900; 6/6/25 : 2200; 8/12/25 : 2900; 9/11/25 : 3900; 10/1/25 : 5500; 11/14/25 : 14000; 2/12/26 : 33000; 5/18/26 : 70000; 6/2/26 : 110000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/24/2026)
Kazuo Yoshikawa, CFA		
HOYA (7741.T)	E (10/30/2023)	¥26,350
KIOXIA Holdings (285A.T)	O (08/12/2025)	¥92,500
Renesas Electronics (6723.T)	O (11/26/2019)	¥4,703
Rohm (6963.T)	++	¥5,278
Socionext (6526.T)	U (01/27/2026)	¥2,651

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.